

Book Review

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Brent Crude Oil: Genesis and Development of the World's Most Important Oil Benchmark, edited by Adi Imsirovic (Palgrave Macmillan, 2023). 139 pages, ISBN 978-3031282317 hardcover, ISBN 978-3031282324 e-book.

Even with the rapid growth of renewable energy supply, oil still provides one third of global primary energy supply and remains one of the most actively traded commodities in the world.¹ Brent is used to price approximately 80 percent of oil traded on global markets.² Yet, even at its highest production in 1984, Brent only provided less than 1 percent of the world crude oil supply. What made Brent so special in the world oil market?³ How has it evolved to a prominent benchmark? What would happen if Brent production further dwindles? In this fascinating book, Dr Amid Imsirovic assembled a team of veteran oil traders who directly participated in the creation and development of the Brent market and presents a collection of essays on the history of the Brent market. It not only provides a detailed account of the historical background, a recollection of what had happened at the time, but also many valuable personal reflections by the key individuals who shaped the evolution of the Brent benchmark.

The book contains nine chapters. After a brief introduction to the motivation and an overview of the book, Adi Imsirovic continues in Chapter 2 with the collapse of OPEC's pricing system and the development of benchmarks followed by a brief history of oil markets dating back to the 1860s up to the 1980s. He covers the major milestone developments in modern oil history such as the "Red Line Agreement," and the anti-colonial movement of 1950 to 1970s. A central argument that Adi put forward in this chapter is that the natural state of the oil market is competition, and oligopolistic structures are the result of either government's inaction to regulate market power or governments' deliberate policy to encourage national champions. While this point may require further empirical test to establish its validity, the chapter sets the stage for the introduction of oil benchmarks through a review of the historical developments. Personally, I would probably have organized the material in chronological order instead of starting the chapter with the collapse of the OPEC pricing system, but I understand the purpose is to introduce the oil benchmark from the beginning.

Chapter 3 was jointly authored by Liz Bossley and Nigel Harris. Liz worked as an oil trader for the UK state oil company, British National Oil Company (BNOC), from 1978 to 1985, while Nigel was a BP oil trader until the mid-1980s. In the first part of the chapter (roughly three quarters of the chapter length), Liz explains the origins of the Brent market along with background on why BNOC was created. She goes into greater detail about the development of the fifteen-day market and, importantly, the tax considerations—the so-called "tax spinning." It answers questions like how the trading started, why it is Brent instead of some other North Sea grade, what is the fifteen-day market and the government's

¹For world primary energy supply, see International Energy Agency, "Key World Energy Statistics" various years.

²The ICE "Brent: a benchmark for dynamic crude markets" <https://www.ice.com/insights/market-pulse/brent-a-benchmark-for-dynamic-crude-markets>.

³For Brent production profile, see Mu (2019). *The Economics of Oil and Gas*. Agenda Publishing, New Castel Upon Tyne, UK (<https://doi.org/10.2307/j.ctvthhc9p>), p. 25 based on data from UK Oil & Gas Authority.

role. In the last section of the chapter, Nigel explains the term “spinning” from a broker’s perspective with detailed examples. Besides providing rich detail on the genesis of the Brent market, the chapter also offers valuable insights into the upstream fiscal regime, such as the Petroleum Revenue Tax, the supplementary charge, and the associated ring fencing, the “arm’s length” principle, that have been applied in the UK Continental Shelf.

In Chapter 4, Colin Bryce, who was once a BNOC oil trader and later became Co-Head of Global Commodities at Morgan Stanley, provides a detailed account of the evolution of the ecosystem of oil traders, particularly the role that banks play in price discovery and risk management. The inclusion of such real-world stories as Ms. Nancy Kropp’s handling of the Klockner crisis, a Morgan Stanley trader setting up a satellite dish to receive CNN signals during the first Gulf War, and the author’s first-hand experience of creating a new hedging instrument all make the chapter more entertaining.

Continuing from Colin’s focus of oil trading, in Chapter 5, Kurt Chapman, former global head of oil for Mercuria and who once worked for Colin Bryce, shares his experience of how he entered the oil trading business and how he profited when the first Gulf War broke. Kurt seamlessly weaves his own experience with explanations of some of the most innovative and complex trading instruments such as “exchange of futures for physical” (EFP), “contract for difference” (CFD), “dated to frontline” which are rarely found in standard finance textbooks. These instruments are designed to exploit inconsistencies that might exist between physical, forward and futures markets, and the operational tolerance of the Brent contract. The chapter may be a challenging read to those who are less familiar with the “nitty and gritty” of oil trading. Nonetheless, it provides great insight into how traders seek every opportunity and how they weigh opportunity against risks.

Chapter 6 focuses on the operations of physical trading. The author is David Godfrey, who was a manager of crude oil operations for BNOC before moving on to a newly formed trading arm, Elf Trading S.A. in Geneva (now TotalEnergies Trading and Shipping). It explains, in greater detail, the operations of the Brent market, particularly the nomination process and the associated risks. This chapter is a fascinating read for anyone who wishes to understand the complex operation of Brent trading. It could also serve as an excellent reference for jargon such as *clocking*, *laydays*, *pass the parcel*, *bookout*, and *letter of indemnity*. I understand the author is an early advocate for the electronic delivery of bills of lading, although progress in this area seems to be slow.

In Chapter 7, David Peniket, former director of Finance of the International Petroleum Exchange (IPE) and who later became the President of ICE Futures Europe, revisits the early years of the Brent trading at the IPE, discusses the peculiarities of the Brent futures contract, and shares his first-hand stories of transitioning from the open outcry trading to the electronic trading we see today at the Intercontinental Exchange (the ICE). It is a fascinating read for anyone interested in understanding how a central commodity exchange works, and how a small, electronic platform eventually acquired a major oil exchange.

Chapter 8 is devoted to the price reporting agencies (the PRAs). The authors are Adrian Binks, the Chief Executive Officer of Argus Media Group, and Neil Fleming who has a career spanning the three biggest PRAs—Platts, ICIS, and Argus. The chapter provides the reader with excellent insight into the role that the PRAs have played in the price discovery for crude oil and oil trading. It explains how the price assessment has evolved over time as the market situation has changed. The chapter is a good complement to Chapter 3 and Chapter 6 about the trading operations of Brent crude oil and offers a detailed explanation of the price discovery process. Personally, I would probably have used some figures and illustrations to help the readers better understand the timeline of price assessment.

Finally, Adi in the last chapter offers his thoughts on the future direction of the Brent Index. This is particularly important given the inclusion of the West Texas Intermediate (WTI) Midland crude into its list of deliverable grades of oil in the Brent contract.

Overall, the book is a fascinating read for me. I think it will also be a valuable reference for anyone who wishes to understand how Brent crude oil trading works, how the price is discovered and reported, how physical trading interacts with the futures market, and what caused the rise and fall of petroleum exchanges. It's a good addition to the economic history of crude oil markets. The writing style is in the narrative with personal reflections making it fairly accessible.

If there is to be a second edition, I would like to see two things. First, it would be helpful to include a list of abbreviations for the many acronyms and jargon (e.g., the spinning) used, which may not be too obvious to a reader who does not possess the same level of knowledge about the history of oil in the UK as the authors. Second, it would be helpful to include more figures and diagrams to help the reader understand the many concepts and processes (e.g., dated Brent).

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